Previous Year vs Assessment Year

earn first, tax next!

Income-tax Law

In simple words You earn in the Previous Year. You are taxed on it in the Assessment Year that follows.

1 Previous Year (PY)

The financial year in which income is earned. Its income is generally taxed in the next Assessment Year (s.3).

PY for AY 2026-27 = 2025-26

2 Assessment Year (AY)

The 12-month period from 1 April to 31 March that follows the PY. Income of the PY is assessed in it.

AY 2026-27 = 1 Apr 2026 to 31 Mar 2027

1. Income is earned in the PY and assessed in the AY.
2. The PY always comes first; the AY follows it.
3. The PY is the year just before the AY, so AY 2026-27 means PY 2025-26.
4. Do not treat FY 2026-27 income as income of AY 2026-27.



Swipe for the summary →

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PY vs AY Table

Previous Year and Assessment Year

same income, two years

Point	Previous Year	Assessment Year
Meaning	Year income is earned	Year income is taxed
Dates	1 Apr–31 Mar; new source: from its start	1 Apr–31 Mar after the PY
Order	Comes first	Follows the PY
Length	Up to 12 months	Always 12 months

Earn in PY, pay in AY! A new business or source of income can have a PY shorter than 12 months, but the AY is always a full 12 months.

Swipe for a memory trick →

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STUDY TRICK

Previous Year and Assessment Year

Pehle earn, phir tax

PREVIOUS = PEHLE

Previous means Pehle: you earn first. Assessment means Aakhir or Agla: you are taxed afterwards, in the next year. The PY always comes first.

HOW TO ATTEMPT IT

1 Read the AY given in the question → 2 Go one year back to find the PY →

3 Check if the source started mid-year →

4 Start the PY from that date to 31 Mar → 5 Tax the PY income in the AY

EXAM TIP

Always write both years together, such as PY 2025-26 and AY 2026-27. It avoids the common mix-up.

DOUBT BUSTER

Is the PY always 1 April to 31 March? No. For a new business, profession or source of income, the PY starts on the date of setting up or when the source comes into existence, and ends on 31 March.

Swipe for common mistakes →

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COMMON MISTAKES

Previous Year and Assessment Year

PY and AY are not twins!

✗ Income earned in 2026-27 is taxed in AY 2026-27

✓ Income earned in PY 2025-26 is generally taxed in AY 2026-27.

✗ PY is always 1 April to 31 March

✓ Normally yes; for a new business or source it runs from the date it starts to 31 March.

✗ AY comes before the PY

✓ The PY comes first and the AY follows it.

✗ AY can be shorter than 12 months

✓ The AY is always 1 April to 31 March, a full 12 months.

TOMORROW'S CA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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